

The role of economic development and quality of governance in enhancing digitalization in the European Union

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Abstract:

This study addresses the underrepresentation of empirical research on female entrepreneurship in informal urban settlements in the Western Cape, South Africa. The objective of this research is to explore the entrepreneurial challenges and opportunities encountered by women managing businesses in the Masiphumelele informal settlement in Cape Town and to establish a context-specific multi-pillar empowerment framework that enhances the viability of their businesses. The research adopted a qualitative, interpretivist research design that entailed carrying out semi-structured interviews with 17 female entrepreneurs recruited through purposive and convenience sampling. The data were analysed using a hybrid inductive–deductive thematic analysis supported by QSR NVivo 12 Pro. Three interconnected themes emerged: entrepreneurial challenges, including financial exclusion, inadequate business space, digital literacy deficits, family responsibility, crime, and load-shedding; opportunities for business sustainability, encompassing new equipment, mentorship, digital platforms, and tourism access; and strategies for overcoming challenges, including diversification, social media marketing, and peer networking. Financial constraints are identified as the most pervasive barrier, cited by 15 of 17 participants. The study demonstrates that these barriers operate through a compounding dynamic in which each constraint intensifies the effect of others. A five-pillar framework for empowerment is advanced, clearly situated within Women’s Empowerment Theory and built on the lived experiences of participants. The study advances understanding of female entrepreneurship in sub-Saharan Africa through the concept of compounding disadvantage and the argument that a multi-dimensional and theoretically integrated intervention is necessary for meaningful

	empowerment in the informal settlement environment. Keywords: female entrepreneurship, informal settlement, women empowerment, compounding disadvantage, South Africa
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1. Introduction

Women's entrepreneurship is an important tool of development and poverty reduction for emerging and developing countries (Brush et al., 2019; dos Santos et al., 2019). Women constitute 51.1% of South Africa's population but account for only 34% of SME owners. The female unemployment rate is 34.5%, compared with 27.7% among men (Statistics South Africa, 2022; Statistics South Africa, 2023). The situation is exacerbated in informal urban settlements, where survivalist microenterprises for women are not a choice but a necessity. They occur in an environment lacking adequate infrastructure, where institutional negligence and systemic disadvantage exist (Dencker et al., 2021; Etim & Iwu, 2019).

With a population of approximately 34,000–50,000 people, Masiphumelele is one of the largest informal settlements in the city of Cape Town (Statistics South Africa, 2022). It is characterized by significant unemployment, infrastructure shortcomings and minimal formal economy integration. Despite these challenges, the entrepreneurial women of Masiphumelele manage thriving businesses in a wide variety of sectors, including food production, hairdressing, tailoring, sales and transport. However, they are largely invisible to formal support systems, and literature examining female entrepreneurship at the settlement level in the Western Cape is limited (Nambiar et al., 2020).

Various government and NGO programmes in South Africa are formally directed at women entrepreneurs in the informal sector (e.g., the Township and Rural Entrepreneurship Programme (TREP), CASIDRA, SEDA, and SEFA) but information about these programmes, or participation in them, is very limited amongst the women entrepreneurs of Masiphumelele. This gap between what the state institution offers and what is accessible to the community is a structural divide that must be explored in the empowerment literature.

The aim of this research is to address this gap, through three specific research aims: 1) to investigate the constraints faced by female entrepreneurs in their entrepreneurial activities; 2) to explore the opportunities available to further sustain female businesses in Masiphumelele; and 3) to propose strategies and options for dealing with constraints and leveraging existing opportunities. The study ends with the construction of a five-pillar empowerment framework informed by participants' lived experiences, with a solid theoretical foundation in the Women's Empowerment Theory (WET).

2. Theoretical and conceptual background

2.1 Female entrepreneurship in informal settlement contexts

Entrepreneurship within informal settlements constitutes a specific analytical terrain. While sharing aspirational and economic characteristics with mainstream entrepreneurship, it is distinctly structured by a qualitatively different set of conditions both enabling and constraining it. Venkataraman (2019) and Parker (2018) define entrepreneurship more generally as the discovery and exploitation of opportunity under conditions of uncertainty, whereas Fairlie and Fossen (2018) make a critical distinction between opportunity and necessity entrepreneurship. This latter tends to dominate in regions

of widespread unemployment and inability of the formal sector to absorb labour – a condition that equally applies to female entrepreneurs in informal settlements (Fairlie & Fossen, 2018; Knox et al., 2019).

The level of female participation in the informal economy is significantly higher in sub-Saharan Africa. As Etim and Daramola (2020) and Bonnet et al. (2019) point out, the informal economy for many developing world women is not merely a transitional livelihood but a persistent one. The key characteristics of the female-owned micro-enterprises in informal settlements are poor capitalization, local focus and susceptibility to shocks such as crime, price fluctuations and failures in public service delivery. However, informal settlements also offer advantages: captive local markets, low barriers to entry, and well-developed social networks that facilitate access to information and credit (Etim & Iwu, 2019).

Both Mashapure et al. (2022) and Mukorera (2020) argue that in the case of South Africa, and specifically in the Western Cape, female informal sector entrepreneurs cluster in industries that mirror or build upon their domestic functions such as food hawking, hairdressing, dress-making and child-care due to socio-cultural processes dictating the ways in which women become integrated into economic life. Examining when and why such businesses succeed or fail is therefore both an academic and a policy concern.

2.2 The intersecting challenges of female entrepreneurship

The literature consistently identifies a multi-layered range of challenges for female entrepreneurs in an informal developing country context. Meyer (2018) distinguishes between internal difficulties (low manager capacity, lack of tolerance for risk) and external factors (lack of access to markets, lack of capital and infrastructure). Panda (2018), bringing together empirical evidence from developing countries, argues that financial exclusion, poor training, discrimination, and poor infrastructure appear to be the most persistent of constraints. Unique about the informal settlement context is the amplification of disadvantage in the simultaneous operation of several negative constraints (Cabrera & Mauricio, 2017; dos Santos et al., 2019).

Financial constraints have been reported consistently as the barrier women entrepreneurs experience most. Women entrepreneurs find it extremely difficult to get loans from formal credit channels, mostly due to poor credit history, lack of collateral and institutional gender bias (Hussain et al., 2019; Isaga, 2019). Women in the informal settlements are particularly vulnerable since they usually use personal savings and informal credit channels, such as *stokvel*, for starting their enterprises (Chowdhury et al., 2018; Langevang et al., 2018).

Socio-cultural gender norms create yet another constraint. Within many parts of sub-Saharan Africa, women are socially expected to not only carry out their business activities, but also to be responsible for the majority of housework and caregiving tasks, resulting in structural time poverty, which affects the time allocated for business operations, investment in training, and planning capacity (Adom & Anambane, 2020; Mozumdar et al., 2020). Deficits in digital literacy form a growing challenge: the Fourth Industrial Revolution has made a level of digital literacy a pre-condition for market participation, consumer engagement, and the ability to position oneself competitively (Schwab et al., 2017; Swartz et al., 2022). A deficit in affordability of devices, connectivity, and skill sets for using social media and e-commerce platforms for business purposes creates an additional challenge (Fatoki, 2016; Kamberidou, 2020). These obstacles do not function in isolation but reinforce each other, creating a cumulative disadvantage which cannot be addressed through single interventions designed to empower women.

2.3 Women's empowerment theory as analytical framework

The theoretical foundation of this research lies in Women's Empowerment Theory (WET). Empowerment can be defined as an endogenous, procedural process of change in women's abilities to gain access to and influence resources (including knowledge) for their lives, make informed decisions and participate effectively in social, economic, and political life (Cornwall, 2016). Drawing on multidimensional approaches to women's empowerment, this study distinguishes four interrelated dimensions: cognitive, economic, political, and psychological empowerment. Cornwall's (2016) work additionally highlights the importance of agency, access to resources, and participation in empowerment processes. These dimensions are mutually reinforcing: access to resources alone does not lead to entrepreneurial empowerment without psychological agency, while the ability to articulate a vision without the capacity for informed participation does not ensure meaningful empowerment.

The multidimensional model proposed by WET is particularly complementary with intersectionality theory, initially developed by Crenshaw (1989) to explore the interplay of race, gender, and class to produce outcomes which could not be explained by any single axis. In the Masiphumelele context, the axes in question are gender, class (economic marginality), and space (residence in informal settlements) which in combination, produce specifically gendered forms of class- and space-related disadvantage that no single axis of analysis could account for (Dy et al., 2017). The implication in practice is direct: gender-specific programmes and class-specific programmes will not reach the locus where this compound disadvantage is constituted. WET must also be implemented in a context-specific way: the cultural context determines how empowerment is defined and operationalised, and in other settings, universal models may import unwarranted presumptions (Al Khayyal et al., 2020).

2.4 Institutional support landscape in the Western Cape

The Western Cape government and its national partners have introduced numerous programmes specifically designed for women entrepreneurs working in the township and informal sector. They include TREP (Township and Rural Entrepreneurship Programme), CASIDRA (Cape Agency for Sustainable Integrated Development in Rural Areas), SEDA (Small Enterprise Development Agency) and SEFA (Small Enterprise Finance Agency). Despite these, research consistently shows very low utilization by female entrepreneurs in the township setting. Restrictions on access range from complicated criteria (business formalisation, minimum years of experience and collateral) that exclude survivalist businesses lacking these attributes (CAFDA, 2018), to a lack of awareness of their existence, and language and bureaucratic hurdles.

A positive example is the Women's Economic Empowerment Programme (WEEP) run by the Cape Flats Development Association, which has achieved tangible empowerment results in Masiphumelele and the neighbouring settlements through a combined package of financial access, training, mentoring and market access (CAFDA, 2018). In contrast, WEDP was a programme that focused on the training component alone, providing no ongoing support and no financial access, resulting in no business sustainability. This is clearly an indicator of the need for a holistic rather than single intervention, with sustained and ongoing support, as evident in the case of WEEP.

3. Research methodology

3.1 Research design, epistemological position, and researcher reflexivity

A qualitative interpretivist research design was used in this study. Interpretivism recognizes social reality as constructed through personal experience and the construction of meaning; it is therefore well-

suited to exploring subtle entrepreneurial experiences of women in marginal informal settlement contexts (Bell et al., 2022; Alharahsheh & Pius, 2020). An inductive research approach was employed, as this method enables findings and themes to emerge from participants' experience instead of predetermined hypotheses. Exploratory research design was chosen because limited empirical studies have been conducted about women entrepreneurship, particularly in Masiphumelele (Al-Ababneh, 2020; Reiter, 2017; Swedberg, 2020).

The researcher's positionality is relevant to the interpretation of findings, and its declaration is a prerequisite for credible interpretivist inquiry. The researcher's prior involvement with female micro-entrepreneurs in Masiphumelele provided access and rapport in understanding local experiences and informing both the interview guide construction and question design.

The principal researcher shared the language with the participants and had previously been a resident in that community for some time. This proximity was regarded as both an advantage, in terms of the capacity to discuss experiences with the participants in depth, and as a potential source of researcher bias, counteracted by the mechanisms of trustworthiness introduced below. Reflexivity was maintained through keeping a researcher's journal during both data collection and analysis.

3.2 Study context, participants, and sampling

This study was undertaken in Masiphumelele, an informal settlement within the City of Cape Town municipality in the Western Cape province, South Africa. Masiphumelele is characterized by a high population density (between an estimated 34,000 and 50,000 inhabitants), a lack of adequate infrastructure and sanitation facilities, high crime levels, and high unemployment, features which are common among informal settlements on the Cape Flats (Statistics South Africa, 2022).

This study used a mixed purposive and convenience sampling design. Purposive sampling was adopted to screen the inclusion criteria: being female residing in Masiphumelele and operating a business in the informal settlement at the time of the study. These criteria were selected in order to achieve data relevancy and validity (Bryman, 2016; Creswell, 2014). Convenience sampling allowed for efficient data collection and minimized logistical barriers associated with accessing subjects in an informal settlement setting (Etikan et al., 2016). Participants were recruited using a combination of purposive and convenience sampling. Purposive sampling ensured that all participants met the inclusion criteria, while convenience sampling facilitated access to eligible entrepreneurs within the settlement. Seventeen businesswomen were included in the final sample. Data saturation was determined based on the standard of no conceptually new codes and categories occurring in three consecutive interviews, a criterion consistent with the principles outlined in Saunders et al. (2016).

An initial pilot study was carried out before the actual research was conducted. The pilot study was conducted on two female participants chosen from the Masiphumelele Women Project, so as to clarify question wording and any possible methodological issues, and to gain an estimate of interview length (Polit & Beck, 2017; Williams-McBean, 2019). A revised interview guide was developed after the pilot study had been completed.

3.3 Data collection and analysis

The primary data was obtained using semi-structured interviews. The interviews were conducted at the participants' business premises or home by the researcher, in person. The semi-structured interview design was adopted because it is capable of collecting richer, context-bound data while at the same time allowing the respondents to provide their views freely on the topics they consider to be most important

(Easterby-Smith et al., 2018). Questions addressed three main themes derived from the study objectives: difficulties experienced by the entrepreneurs in carrying out business; opportunities in continuing business sustainability and solutions for the encountered problems.

All the interviews were audio recorded, after obtaining informed consent of the participants. All recordings were transcribed into Microsoft Word documents. This document was imported into the QSR NVivo 12 Pro software package and a systematic thematic analysis was conducted. The data were examined through a hybrid inductive–deductive thematic analysis following Braun and Clarke (2006) and Vaismoradi et al. (2013). Deductive codes were informed by the research objectives and the main concepts identified in the literature, while inductive codes emerged from participants' accounts. The deductive codes were derived from the objectives of the research and the major conceptual areas of literature (financial limitations, social and cultural factors, lack of digital knowledge, components of empowerment). Inductive coding arose as the interviews progressed and new themes emerged inductively from the data and were incorporated into the analysis. Participants were assigned alphabetic codes from A–Q to ensure confidentiality.

3.4 Trustworthiness and ethical considerations

Trustworthiness was examined using Lincoln and Guba's (1985) four criteria of credibility, transferability, dependability and confirmability. The credibility was strengthened through the careful selection of participants, member checking and the provision of extensive audit trails. Transferability was facilitated by detailed, 'thick' description of the research context, participants and verbatim quotation to allow the reader to judge the potential transferability of findings to similar contexts (Ospina et al., 2018). The dependability of the research was assured through detailed recording of all research decisions made (Moon et al., 2016). Confirmability was demonstrated through the existence of an audit trail from data to findings and a written account of researcher reflexivity (Lincoln & Guba, 1985).

Member checking was undertaken at the theme construction phase. Draft themes, along with some exemplar quotes, were distributed to a sample of 6 participants. Participants were selected on a diverse basis of business type and involvement. They were asked to verify that the themes were appropriate for their own experience and that no substantial dimensions of experience had been omitted or misrepresented. There was only one minor rephrasing of the family responsibility theme and no content was excluded.

All ethical procedures required were complied with. Ethical approval was granted by the Cape Peninsula University of Technology (CPUT). A formal gatekeeper letter from the relevant Ward Councillor was obtained. All participants provided verbal informed consent prior to collection of data. Participants were given sufficient time to make a decision. They were also informed that participation was voluntary, that their identities would remain anonymous, and that all data would be treated as confidential. All data were kept in a password protected, encrypted computer (Manti & Licari, 2018).

4. Results

4.1 Participant profile and opinions

All 17 participants operated businesses across 13 distinct types — a diversity that reflects the breadth of informal sector activity in Masiphumelele: baking, hairdressing, nail bars, tailoring and dressmaking, second-hand clothes sales, vegetable and food sales, tattoo artistry, domestic work, tavern ownership, and transport. Although all participants were involved in business activities, the underlying motivations

for their decision-making also differed significantly, from authentic entrepreneurialism to basic economic survival:

Starting a business is something I have always loved. I just love beauty; I just love working on different people's glowing and changing people's lives[...] - Participant J

I'm doing it because of the circumstances. It is not what I would like to do, but it is something that I could afford to do at the moment. - Participant K

This motivational polarity (of opportunity entrepreneurship and necessity entrepreneurship) is interesting theoretically. It encapsulates the duality of informal settlement entrepreneurship evidenced by Fairlie and Fossen (2018) and Dencker et al. (2021) and indicates that empowerment interventions need to accommodate the heterogeneous motivations of participants. It means that all informal entrepreneurs should not be perceived and treated as similarly necessity-driven.

Theme 1: Challenges when engaging in entrepreneurial activities

Overall, the 17 participants raised a total of 21 challenges which were classified into three areas: structural, relational and contextual. Five sub-themes were analytical priorities: financial restrictions, experienced by 15 of the 17 respondents, were by far the most prominent problem. They experienced permanent difficulty accessing formal loans due to lack of collateral, poor credit rating and lack of knowledge regarding financial tools available. Savings, stokvels and informal borrowing formed the core of accessing capital for the respondents that were in need of it:

I do see it growing, but if I could get more money (laughs), I would be able to get a bigger space. I'm using this container that we are in now, and it's quite small. It tends to be very small when I have a lot of customers[...] - Participant B

Lack of business space – a total of 10 of the 17 respondents said that the size of the business prevented them from increasing the number of customers that could be accommodated simultaneously and from expanding business opportunities. Because these businesses were operated from homes or containers, only a limited number of customers could be served at the same time. The restriction in space is directly correlated to the financial one: bigger business premises needed capital, which was unavailable to respondents. Shortcomings in marketing and digital literacy – 9 of the 17 respondents also said that they had shortcomings in marketing and digital literacy. Although several respondents had embraced the use of social networks as a cheap means of promotion, only a few admitted using them in a well-thought-out strategy:

On some days, I give out pamphlets; on other days, I promote my business on social media. - Participant Q

Nine of the seventeen participants cited family responsibility restrictions. The structural imposition of unpaid household and care labour falls disproportionately on women. Time poverty – the shortage of time for business management due to overlap with household responsibilities was a frequent issue:

I'm the only one living with the kids. I have to drop them off and pick them up from school, so sometimes it's difficult to get to school on time after work. I can even say it's part of the challenge. - Participant F

A fifth major issue regarded criminal activity and the sense of safety (a challenge that had the most impact upon home-based premises):

Sometimes because you know that not everyone is comfortable here at home when different people come around now and again. Because we stay in the township and crime here is high, sometimes there

are those negative thoughts of thinking: What if a person is not here to buy but to commit a crime? - Participant H

The other constraints were load-shedding, price volatility, payment delays, competition, inconsistent clients, shortage of liquor licences among taverners and maintenance of client orders. These combine to constantly limit the possibility of growth of the female businesses in the area.

Despite these limitations, a series of internal and external motivations were identified. There were seven internal motivators: independence, innovation, charity, love of children, artistry, appreciation of aesthetics, and a drive to ease hardship – and six external motivators: domestic finance, community need, continued family business, livelihood, unemployment, and partner retrenchment. The evidence from a single sample containing both types of motivators confirms the analytical limitations of a rigid dichotomy of opportunity and necessity.

Theme 2: Opportunities for business sustainability

Five main categories of opportunities for sustainable business growth were identified from participant responses: availability of new machinery and technology, support and know-how sharing, wealth accumulation and reinvestment, funding sources, and entrepreneurship education. One strong and clearly actionable form of opportunity identified was purchasing of specialized machinery. Participants describing the adoption of new machinery cited their ability to compete directly within the local market:

I have a new machine, so you can see my sister's this one. I just recently bought this one. It's very new! Mmmmmm, it's helping to bring new business because the people around do not have this kind of machine; the overlocker, now they do not have this one. - Participant A

This statement is illustrative of the strategic allocation of investment in assets: Participant A recognized the gap in her market, invested to fill that gap, and articulated this new competitive advantage very well. Mentorship was identified as a key, but underutilized, resource. Another underutilized opportunity mentioned by several participants was tourism: large numbers of domestic and international visitors to Cape Town represent market opportunity for informal cultural and commercial offerings. This opportunity remains underdeveloped for female entrepreneurs due to poor business visibility, inadequate client security, and a tourism infrastructure that is oriented towards the formal urban economy.

Theme 3: Strategies for overcoming challenges

Nine business growth strategies emerged from participant responses, including: expansion to supplementary businesses, advertising (flyers, social media), recruitment of additional personnel, business expansion by client networking, seeking advice and guidance from mentor/mentors, additional resources/equipment and facilities, mobilizing financial resources, implementation of online booking facilities and providing high standard services. There were 13 business infrastructure/institutional development needs drawn from responses and these include: adequate business space, a space to display products/services, more staff, quality maintenance systems, financial inputs, sponsorship and liquor licence.

Table 1 summarises the three themes, their sub-themes, and key empirical content.

Table 1. *Summary of themes, sub-themes, and key empirical content*

Theme	Sub-theme / Category	Key Empirical Content
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Theme 1: Challenges	Financial constraints	Cited by 15 of 17; formal credit inaccessible; reliance on stokvels and personal savings; collateral deficit; functions as meta-barrier intensifying all others.
	Inadequate business space	Cited by 10 of 17; home-based and container operations limit capacity, scale, and professional presentation.
	Digital/marketing deficits	Cited by 9 of 17; partial social media adoption without strategic deployment; dual character as barrier and opportunity.
	Family responsibility	Cited by 9 of 17; childcare and domestic obligations produce time poverty; primarily single-mother households.
	Crime and safety	Home-based operation amplifies vulnerability; constant psychological vigilance required.
	Load-shedding	Electricity-dependent businesses directly affected; no generator access; compounds financial constraint.
Theme 2: Opportunities	Equipment and technology	Specialised machinery confers direct competitive advantage; participants demonstrate strategic asset-investment logic.
	Mentorship and tourism	Strong demand for mentorship; tourism identified as underutilised market if safety and visibility improve.
Theme 3: Strategies	Diversification, networking, quality, digital	Nine growth strategies; 13 specific improvement needs; reflects clear strategic vision constrained by structural conditions, not capability.

4.2 A multi-pillar empowerment framework

Based on the empirical findings, relevant literature, and the theoretical foundations of WET, this study proposes a five-pillar empowerment framework designed to support women entrepreneurs in Masiphumelele. The empowerment framework is intentionally multi-dimensional, as the findings demonstrate that women's experiences are shaped by cumulative disadvantages. As a result, it is unlikely that a single intervention will be suitable to address the complexity of their situations. Each pillar aligns precisely with Cornwall's (2016) dimensions of empowerment, and the framework can be viewed in its entirety in Table 2. It should be noted that the framework is advanced as a context-specific conceptual model grounded in the lived experiences of female entrepreneurs in Masiphumelele. As it derives from a single community and a relatively small purposive sample, it is intended as a starting point for theorisation and practice rather than a universally generalisable prescription, and further empirical validation across comparable informal settlement contexts is necessary before its broader applicability can be established.

Table 2: *The multi-pillar empowerment framework: theoretical mapping and empirical grounding*

Pillar	Empowerment Dimension	Empirical Driver	Core Interventions
1: Financial Access & Literacy	Economic	15/17 participants cited financial exclusion as primary barrier; universal reliance on stokvels; no formal credit access.	Microfinance partnerships Stokvel formalisation Basic bookkeeping training Savings and credit cooperatives Renewable energy micro-loans
2: Skills Development & Digital Empowerment	Cognitive	9/17 cited digital/marketing deficits; partial social media adoption without strategic capability; demand for	Community-based education centres Smartphone-centred digital literacy Platform-specific marketing training

		vocational and business training.	Vocational and business planning skills Psychosocial soft-skills development
3: Mentorship & Peer Networking	Psychological	Mentorship identified as key opportunity (Theme 2); nine growth strategies demonstrate strategic readiness; low programme awareness signals navigation gap.	Structured mentor-mentee matching Peer mentoring networks Programme navigation guides Collaborative business networks Digital mentoring platforms
4: Market Connectivity & Digital Presence	Economic + Political	Tourism identified as underutilised opportunity; strategies include networking and online reservations; digital platforms partially adopted.	Trade fairs and exhibitions Public-private supply chain linkages E-commerce and social media support Community-based tourism initiatives Safety infrastructure improvement
5: Policy Advocacy & Legal Enablement	Political	Institutional visibility gap: participants unaware of available programmes; eligibility criteria exclude informal entrepreneurs; load-shedding and crime affect operations.	Gender-responsive registration frameworks Multilingual, community-based outreach Security and safety infrastructure Electricity access as gendered justice issue Anti-discrimination legal frameworks

Pillar 1: Financial Access and Literacy

Pillar 1 directly addresses the finding that financial exclusion was reported as the most prominent barrier by 15 out of the 17 respondents, and use of savings accounts and stokvels as alternative sources of finance was the norm. Formal relationships should be established between microfinance institutions, savings clubs (of which some would be women only and/or run by the community), NGOs and the government so as to facilitate loans to women entrepreneurs outside the mainstream banking system (Khursheed, 2022). Financial education on savings and management, simple book-keeping, loan application and credit maintenance, should be integrated within the framework of the above relationships and not conducted as stand-alone interventions. As a response to the specific nexus of load-shedding and financial exclusion found in the survey, the provision of microfinance options for off-grid renewable technologies must be an essential part of this pillar.

Pillar 2: Skills Development and Digital Empowerment

Pillar 2 builds on the observed discrepancy of 9 of the 17 respondents experiencing knowledge gaps in digital and marketing literacy and simultaneously showing partial adoption of social media use, identifying them as individuals who have progressed beyond foundational digital instruction and are likely to benefit from targeted upskilling. Educational centers within or nearby Masiphumelele offering job training and entrepreneurial education – along with digital, business planning, and marketing training – tailored to the local context and delivered using appropriate methods and local languages,

would be of benefit. Digital skills training should include job and business-focused digital tools like social media for marketing, mobile money platforms, and methods of online customer interaction in light of the subjects' current use of these applications (Ismail, 2018). The World Bank Gender Innovation Lab's psychosocial training programme – which cultivates goal-setting ability, strategic planning skills, and problem-solving skills – can serve as a valuable supplement to vocational training (Siba, 2019).

Pillar 3: Mentorship and Peer Networking

Pillar 3 is based on identifying mentorship as one of the five identified opportunities under Theme 2 and on the strategic orientation of the nine identified growth strategies. A formal and structured mentorship programme linking more experienced to more novice female entrepreneurs should be established. Productivity increased by 32% among mentored female entrepreneurs (Germann et al., 2024); digital mentoring was effective for remote entrepreneurs (Lall et al., 2023); entrepreneurs perceived practical guidance and emotional support as benefits (Whitlock et al., 2023). A peer mentoring programme should exist linking Masiphumelele entrepreneurs to others who had previously had success with government programmes in order to build practical navigational skills.

Pillar 4: Market Connectivity and Digital Presence

Pillar 4 addresses entrepreneurs' acknowledgement of tourism and digital opportunities as untapped potential (Theme 2) and the marketing (networking, on-line booking, growing customer base) mechanisms articulated (Theme 3). To connect entrepreneurs to non-local markets, structuring mechanisms such as trade shows and exhibitions are essential — their positive effects on turnover are well documented (Fitriani et al., 2021) – as are interventions to formalize public-private partnerships that integrate informal business with supply chain and mainstream markets. Establishing community tourism in Masiphumelele and enhancing security and visibility would open the Cape Town tourist market to them – the barrier currently being informality rather than a lack of relevant service/product offerings.

Pillar 5: Policy Advocacy and Legal Enablement

Pillar 5 reflects the institutional visibility gap noted in the findings and the literature, that is, participants had low knowledge of government programmes available and the structural barrier of eligibility conditions prevented informal entrepreneurs from accessing support. Policy reforms to enable informal entrepreneurship are: gender-sensitive business registration processes for informal businesses; easier access to government programmes with community based facilitation and multilingual materials; provision of better infrastructure regarding safety and security in informal settings; reliable electricity provision as a gender equality issue and an economic justice issue; and stronger legal frameworks that address gender discrimination and sexual harassment in the workplace. The WEEP model provides a replicable mechanism for outreach that synergizes institutional support with community confidence.

5. Discussion

5.1 Compounding disadvantage: Extending the literature

The fact that 15 of 17 respondents reported financial constraints is consistent with the general body of literature, with Isaga (2019) and Hussain et al. (2019) identifying access to credit as the single biggest constraint to female entrepreneurship in developing countries; with Chowdhury et al. (2018) and Langevang et al. (2018) showing compensatory recourse to informal social capital. The Masiphumelele evidence builds on the findings of previous single-site research in a specific way by clarifying the exact mechanism through which the barriers interact. As conceptualised in this study, compounding

disadvantage is understood as a recursive process in which barriers amplify one another, rather than accumulating additively. This expands on Panda's (2018) list of constraints by giving it a mechanism, with concrete implications for the design of empowerment programmes, a dimension that appears underexplored in earlier single-site research in the Western Cape (Nambiar et al., 2020).

5.2 Digital technology as dual register

This evidence that digital technology is both a constraint and an opportunity reinforces Fatoki's (2016) research finding of ICT skills as a key deficit among female informal traders in South Africa and Kamberidou's (2020) discussion of unrecognized platform opportunities. The Masiphumelele study extends this finding by demonstrating partial uptake – presence on the platform but an inability to use it as a tool strategically. Existing South African research appears to treat digital adoption as predominantly binary; the partial uptake dynamic identified here has received limited explicit attention in the reviewed literature (Bruwer & Smith, 2018; Swartz et al., 2022). This suggests that a policy emphasis on targeted upskilling, rather than foundational digital literacy, may be a more context-appropriate recommendation, though comparative studies across settlements would be needed to assess its wider applicability.

5.3 Intersecting Disadvantage

While nine of the 17 respondents identified family responsibilities as important constraints, this finding corroborates the work of Adom and Anambane (2020), Mozumdar et al. (2020), Pareek and Bagrecha (2017), among others. The Masiphumelele findings further demonstrate that work-life constraint in this context is shaped by single-mother households without domestic support – explaining why a work-life balance framework alone is insufficient to account for or redress such constraint, viewed through an intersectional lens (Crenshaw, 1989; Dy et al., 2017). Previous South African studies of female entrepreneurship (Meyer, 2018; Mukorera, 2020) accepted gender and class barriers, but did not theorize their intersectionality at settlement level.

5.4 Load-shedding as infrastructure-mediated disadvantage

Load-shedding is one challenge the literature on female entrepreneurship vastly underreports and electricity-dependent informal businesses disproportionately experience. The Stage 4 and Stage 6 load-shedding experiences inflicted upon hair salons, bakeries, nail salons, and food vending businesses (which depend heavily on electricity to run their operation) result in direct and recurrent business expenditures: losses from perishable goods due to refrigeration failure, equipment downtime when power is not available during peak trade, and loss of customers due to customers being diverted to businesses where a generator is in use. When load-shedding is combined with financial exclusion, there is infrastructure-mediated disadvantage – the inability to sustain business operations that appears to receive limited attention in existing Western Cape studies on female entrepreneurship (Etim & Iwu, 2019). Load-shedding thus emerges as a contextually significant gendered barrier within this study's empirical scope, warranting further examination in comparative research.

5.5 Institutional visibility gap

The contrast between WEEP's success and WEDP's design failures is consistent with the broader literature on support programmes for women's entrepreneurship (Ismail, 2018; Siba, 2019). The Masiphumelele data offers a contextually grounded illustration of an institutional visibility gap – a pattern in which intended programme beneficiaries are routinely excluded due to inappropriate formal business criteria, communication in registers inaccessible to participants, and the absence of trusted informal intermediaries. This extends the stakeholder analysis of Nambiar et al. (2020) by foregrounding

the visibility dimension, which receives limited attention in their account; further comparative work would be needed to establish whether this pattern is specific to Masiphumelele or more broadly applicable.

5.6 Entrepreneurial agency

The fact that participants expressed nine strategies for growth and 13 requirements for improvement (ranging across operation, marketing, finance and regulations) provides a clear example of proactive entrepreneurial agency which counters the deficit perspective of survivalist entrepreneurship. It was the complexity and strategic nature of participants' accounts that reinforced the warning by Fairlie and Fossen (2018) and Dencker et al. (2021) that the agency and enterprise associated with necessity-driven business activity should not be underestimated. While previous research with informal settlement entrepreneurs in similar South African settings recorded greater levels of problems than participant strategies (Etim & Iwu, 2019; Mukorera, 2020), this article, through its three themes, provided an even, strategic and opportunity-driven dimension to the explanation of entrepreneurship.

6. Conclusion, limitations and scope for future research

This study has produced new empirical data from 17 female entrepreneurs in the Masiphumelele informal settlement, Cape Town, and has put forward a five-pillared framework for empowerment, derived from the lived experience of participants, and informed theoretically by Women's Empowerment Theory. Its main finding is that female entrepreneurs in the chosen context face compounded intersectional disadvantages in a complex, multi-layered process and exhibit active agency within the entrepreneurial process. It contributes to existing literature in four main ways. First, it contributes novel empirical data from a particular informal settlement in the Western Cape of South Africa, which expands on the very thin body of knowledge of female entrepreneurship at the settlement level in South Africa. Second, it proposes and theorises the notion of compounding disadvantage, suggesting that the identified obstacles operate through a process of cumulative interaction, not in a linear or an additive way. Third, it makes an explicit link between intersectionality theory and Women's Empowerment Theory, a connection that appears underexplored in the empirical literature specifically focused on informal settlements in South Africa. And finally, it maps out the five pillars onto WET dimensions and makes theory concrete in terms of the underlying enabling and disempowering design principles.

There are some limitations to acknowledge. The study was conducted in the specific locale of Masiphumelele, and the convenience sampling has limited the generalisability of findings to statistical populations. Although appropriate for qualitative research, the sample size of 17 might not adequately encompass the variety of informal entrepreneurship occurring within the informal settlement of Masiphumelele; it did, however, prove sufficient to achieve data saturation. Comparative studies,

looking at a number of informal settlements and conducting similar research as outlined here would determine the extent to which findings can be generalized, and the validity of the proposed empowerment framework. In particular, the five-pillar empowerment framework should be understood as a context-specific conceptual model requiring further validation; it is offered as a theoretically grounded starting point derived from one community rather than a framework with established generalisability.

Longitudinal designs, examining the impact of empowerment strategies over time, would considerably advance evidence to guide policy, as would mixed-methods approaches. There are promising avenues for future research: examining the specific gender impacts of load-shedding on informal businesses; deploying digital mentoring platforms in infrastructure-poor informal settings and exploring the specific relationship between tourism growth and informal entrepreneurship within the broader informal economy of Cape Town.

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